A world ruled by disembedded markets

Instead, a parallel world is in the making. On the one hand there are powerful forces pushing the world towards a global free-trade system. The WTO calls it 're-globalisation' after the 'first age' of globalisation before World War I and a period of 'de-globalisation' between the First and the end of the Second World War (WTO 2013:46–55). Re-globalisation, according to the understanding of the representatives of the WTO, is the return to a quasi-natural state of affairs which already began during the 'first American century' and ended successfully with the dissolution of the socialist alternative so that the whole world can work like a single market. This can be seen in the creation of several regional integration schemes in all parts of the world from Western Europe (EU) to South-East Asia (e.g. ASEAN) or South America (e.g. Mercosur). At the same time tariffs and non-tariff trade barriers have been removed to a remarkable extent. In the year 1995 the WTO inherited from its predecessor the GATT, a nearly (i.e. not completely) tariff-free global trade system.

But it still is not perfect in the understanding of the free trade proponents. They not only want free markets, but disembedded markets. Karl Polanyi (1956) published *The Great Transformation*, a book warning about disembedded markets, especially about those of labour, money and finance and pieces of nature, e.g. real estate markets. His analysis was extremely clear: when the market economy becomes disembedded from society (and, we have to add, from nature) then they work like a 'satanic mill' destroying the commodities traded in the respective markets, i.e. labour power, money and nature. This is a discourse which fits into the Marxian one where the question of commodity – and money fetishism – is a crucial one. Hence, the liberalisation of trade relations not only has consequences for the economic performance of a nation but also a considerable impact on the social system, on political participation and on the natural environment.

New trade agreements covering the Atlantic as well as the Pacific areas are in the making. The new transpacific and transatlantic trade agreements are basically investment agreements tailored to widen the scope of still-existing regulations in the interests of private corporations (so-called investors) against the interests of the people concerned. It may be admitted that free trade is perhaps not only profitable for the corporations but also beneficial for consumers. In any case it is harmful for many of the workers worldwide because of the weakening of the social welfare system and the connected undermining of social security. It also caps opportunities and rights of democratic participation in decisions which concern the common interest. Lastly, it is bad for the natural environment.